

2 - Contingency planning



Do Now

Nokia was once the world's leading mobile phone manufacturer. However, when the smartphone market began to change rapidly in the late 2000s with the introduction of Apple's iPhone and Google's Android system, Nokia struggled to adapt.

Difficulty managing change:

- **Organisational culture:** Nokia's internal culture was resistant to innovation and slow to make bold decisions. Managers were often reluctant to take risks or challenge senior leadership.
- **Speed of change:** The business was large and bureaucratic, meaning decisions took too long to implement.
- **Leadership issues:** Senior leaders underestimated how quickly consumer preferences and technology were evolving.

What could they have done differently?



Learning Outcome

By the end of the lesson you will be able to explain how businesses plan for risk mitigation through continuity and succession planning

To Know



- I know what is meant by risk mitigation in a business context.
- I know the purpose of a business continuity plan and when it is used (e.g. during crises, system failures).
- I know what succession planning involves and why it's important for long-term stability.
- I know the risks of not having continuity or succession plans in place.
- I know how effective planning supports business resilience and leadership continuity.

Contingency planning

Contingency planning (also referred to as scenario planning) is the anticipation of different business situations, emergencies or otherwise, and the decision of how to manage them. Businesses use risk and probability assessment techniques, such as decision trees, to decide which scenarios most apply to them and which of these pose the biggest threats.

Planning for risk mitigation

Risk mitigation is the process of planning for disasters and having a way to lessen negative impacts.

Although the principle of risk mitigation is to prepare a business for all potential risks, a proper risk mitigation plan will weigh the impact of each risk and prioritise planning around that impact.

There are four main areas when it comes to risk mitigation:

Risk acceptance: this involves a business, usually a small one, accepting that the cost involved in preventing a risk is greater than the cost of the impact brought on by the risk.

Risk avoidance: this is when a business decides to move away from a risk, physically or otherwise. The firm may remove its operations from one part of the world because of risk brought on by war. Alternatively, a business may stop using suppliers in low wage countries to avoid the risk of being associated with unethical behaviour.

Risk limitation: when a business accepts that the risk exists and then, rather than doing nothing, works to mitigate the effects of this risk. An example might be the IT security of a business, which is increased as a way to lessen the effects of a computer virus.

Risk transference: this involves a business handing its risk to someone else, such as outsourcing a particular part of its operations. e.g. IT systems

Key risks and the need for business continuity

Contingency planning is required to deal with a crisis - this is something that can have a major impact on the businesses operations. Edexcel want you to focus on natural disasters, the failure of IT systems and the loss of key staff e.g. CEO.



Natural disasters



Events caused by environmental factors e.g. earthquake, flooding, landslides

How did the earthquake and tsunami in 2011 affect Japanese businesses? Provide examples

IT systems failure



Angry passengers as tens of thousands affected by BA systems failure

In August 2019, BA had many angry passengers as more than 500 flights were cancelled or delayed as a result of an IT systems failure. It affected the travel plans of tens of thousands of people with holiday and business plans travelling from London's Heathrow, Gatwick and City airports. This was not the first time BA has had IT failures.

In 2017, 75,000 passengers were stranded around the world when BA was forced to

cancel more than 700 flights over three days due to IT systems failures. A data breach in 2018 affected 400,000 customers and led to a fine of £183m. BA claimed it regularly carries out detailed risk assessments of its IT systems and IT infrastructure. It is dependent on IT systems for many of its key business processes.

Consider the extent to which contingency planning might have reduced the risk of an IT systems failure for a business such as BA.

Example of Business Continuity Plan for a Computer Manufacturer in Event of a Virus	
Assess damage caused by impact	Systems are temporarily shut down so that the analysis team can assess which processes have been affected. Other teams work offline in the meantime.
Agree a strategy	Company has various strategies already prepared in order to react to different virus types. Leadership discusses with key IT personnel in order to choose the right strategy for the situation.
Preparation	Employees are notified of the situation and delivered an action plan in order to respond to the threat as efficiently as possible. Any equipment or backups are brought in. Press team is also notified so that they can communicate with any journalists (if necessary).

Loss of key staff

No business wants to lose its key staff. A key member of staff can be anyone, from the CEO or managing director to a particular marketing executive who drove sales to levels previously unseen. A key member of staff might even be that IT manager who knows every business process but keeps it all in their head.



A business needs to be ready for the eventuality of losing a key staff member. In October 2011, Apple, Inc. lost its most key staff member, Steve Jobs, to cancer. Steve Jobs led Apple, Inc. to some of the most popular computing products of all time, from the iPod and iMac to the MacBook, iPhone and iPad.

Succession plan - example

Example of Succession Plan for a Perfume Business in Event of Losing CEO	
Job description	The business must already fully understand the role and strategy of the CEO and, therefore, what would be expected of the successor. This description can continually change, too, so it is important for the CEO and firm's leadership to regularly assess this.
Find successor	Once the firm understands exactly what would be expected of its CEO, it can begin the hunt for the successor, i.e. the person who would best fill the CEO's shoes (within the company or external). This should begin as soon as possible, whether the firm is in need of a successor now or years in the future.
Decision and training	The business should have more than one successor lined up for the CEO's position. This way, if one option is no longer available, there will still be other strong candidates to choose from. The business can prepare each potential successor through formal training and work shadowing, among other methods.
	Everyone will eventually find out that the business has a new CEO. However, in the beginning stages, it is most important to inform the

Inform	However, in the beginning stages, it is most important to inform the company's leadership and directors. These people can then feed any essential information down the chain of command.
Preparation	Once the key staff are aware of the change, it is then important to initiate any training programmes necessary. It is possible, for example, that employees other than the successor take on particular tasks of the previous CEO. The new CEO may also have new strategies that everyone must follow.



I Do, We Do, You Do

What are the advantages and disadvantages of contingency (scenario) planning?

Practice Question

01/20

Jack Ma Confirms *Alibaba* Reshuffle and Succession Plan

Chinese e-commerce giant *Alibaba* has confirmed Jack Ma's plan to step down as chairman. He will be replaced as chairman by the current CEO, Daniel Zhang, in September 2019.

Rumours of the retirement of the 54-year-old Ma appeared late last week. The announcement did not affect the company's share price. *Alibaba* is one of the few Chinese companies to have made clear succession plans and it has already delegated some significant responsibilities amongst its existing professional management.

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Ma, who co-founded the company 19 years ago and has become China's best-known businessman, will ensure an orderly handover. He will continue on the board of directors until 2020. He remains a lifetime member of the 36-member *Alibaba Partnership*, which nominates company directors.

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"One thing I can promise everyone is this: *Alibaba* was never about Jack Ma, but Jack Ma will forever belong to *Alibaba*," he said in a letter to staff and shareholders.

In less than two decades of existence, *Alibaba* has transformed many Chinese industries. In recent years, *Alibaba* has become a major investor in entertainment and media, which it regards both as a source of future profits and as a means of making its trading platforms more effective.

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In recent weeks, *Alibaba* vice chairman Joe Tsai has dismissed worries that the China-US trade war will badly affect the company. *Alibaba* has also become the 'shop window' for numerous foreign businesses wanting to sell in the huge, but regulated, Chinese markets.

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Affirmative Checking

Evaluate the extent to which succession planning can reduce risk for a business such as *Alibaba*.

(20)

Produce a plan

Practice Question

Second ASOS fire damages stock worth £6m

In May 2017 a fire at ASOS's Berlin warehouse damaged two million products worth £6m. According to ASOS, 'All relevant safety measures were followed and the fire was contained'. After the fire, ASOS's contingency plan was put into operation and ASOS immediately started to fulfil orders from Germany through its Barnsley warehouse.

In June 2014 ASOS's Barnsley site had been damaged by fire, destroying an estimated 20% of stock. In addition, this fire cost £30m in lost sales, which meant ASOS missed its £1bn sales target for 2014.

The fire in 2014 disrupted business for three days. In contrast, after the fire in the Berlin warehouse, the ASOS website serving Germany and the UK operated as normal. Following news of the Berlin fire, ASOS's share price dipped initially, but soon recovered.

Assess the usefulness of contingency (scenario) planning to a business, such as ASOS (12)

